

THE INVEST *igator*

A monthly newsletter published by Swap Global Ventures Pvt. Ltd., Nagpur

Vol 18 No.9

December 2021

ANNUAL INFORMATION STATEMENT (AIS)

The Income Tax Department has announced the roll-out of a new statement namely Annual Information Statement (AIS) which would provide every taxpayer with almost all details about his financial transactions during the year. So far, the Income Tax Department has been issuing Form 26AS to provide information related to taxable income and tax deducted at source (TDS), which will now be replaced with the Annual Information Statement (AIS).

Here is a brief list of transactions to be reported in the new Annual Information Statement (AIS).

1. Salary.

Salary paid by employer as reported to the IT Department.

2. Rent Receipts and Payments.

Tenant (Individual/HUF) paying a rent of more than 50,000 is liable to deduct tax while making payment to the landlord.

3. Dividends.

Dividend paid/declared by all companies (reporting entity) is reported under Statement of Financial Transactions (SFT). Company paying/distributing dividend is liable to deduct TDS from the amount paid subject to the threshold applicable in the act.

4. Interest from savings bank/ deposit / others.

Bank/deductor at the time paying/crediting interest on deposits is liable to deduct tax from deposit holder subject to the threshold applicable in the act.

5. Winnings from lottery or crossword puzzle or horse race.

Payer is liable to deduct tax at applicable rate as per act from winnings from lottery or crossword puzzle etc.

6. Receipts from life insurance policy.

Receipts from life insurance policy are exempt under section 10(10D) subject to conditions specified therein. If such conditions are not met, the receipts become taxable and tax is also deducted u/s 194DA.

7. Purchase and Sale of land or building or immovable property.

Sales consideration of immovable property transferred is reported under Statement of Financial Transactions (SFT). The information will be shown in AIS of all sellers to enable submission of feedback.

8. Purchase and Sale of securities and units of mutual fund.

In the SFT reporting of depository transactions, the estimated sale consideration for the debit transaction is determined on the best possible available price of the asset with the depository (e.g. end of day price). The taxpayer will be able to modify the sales consideration and other related information before filing the return.

9. Purchase and Sale of vehicle.

All Purchase and Sale of motor vehicle is reported to the Department, including cases where PAN is not furnished by the transacting party.

10. Off market debit / credit transactions.

In the SFT reporting of depository transactions, the depository reports details of off market debit /credit transactions. The value of transaction is computed on the basis of end of day price of the security. In case, the consideration is available, the same is also shown.

11. Miscellaneous payments.

Purchase of bank drafts or pay orders where PAN is not furnished by the transacting party. PAN is populated based on Aadhar and other attributes of the person

12. Cash deposits or Cash withdrawals.

Information pertaining to cash deposits or withdrawals in an account is reported by reporting entity in form 61A. The information will be shown in AIS of all account holders to enable submission of feedback.

13. Outward foreign remittance/purchase of foreign currency.

Information of outward foreign remittance is reported by authorised dealer to IT Department. Information about Remittance under Liberalised Remittance Scheme (LRS) for educational loan taken from financial institutions mentioned in section 80E is reported by authorised dealer through TCS form 27EQ

14. Foreign travel.

At the time of such travel PAN is required to be submitted and relevant information is reported to the Department by various Agencies.

15. Opening of Time Deposits in Bank, Post Office, etc.

Information relating to Purchase of Time deposits is reported by reporting entity (such as the bank) in the Statement of Financial Transaction (SFT).

16. Credit/Debit card.

Information pertaining to application for issuance of credit/debit card where PAN is not furnished by the transacting party. PAN is populated based on Aadhar and other attributes of the person.

17. Balance in account.

Details of bank account other than saving and time deposits opened during the year, as reported by the reporting entity.

Please note that the above list is not a complete list and it mentions only relevant transactions for a general individual tax payer.

DISCLAIMER: The views expressed here cannot be construed to be a decision to invest. The statements / articles contained herein are based on current views and involve known & unknown risks and uncertainties. Swap Global Ventures Pvt Ltd. or its officers / directors shall have no responsibility or liability whatsoever for the accuracy or any use or reliance thereof of such information.

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.



SWAP Global Ventures Pvt. Ltd.

AMFI Registered Mutual Fund Distributor

VCA Complex, Civil Lines, NAGPUR – 440 001

0712-6641166/67, 9372693725

Email : swapconsultants@yahoo.com Website: www.swapglobalventures.com